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Required Quiz 2.1: Week 2 Quiz

Due Mar 29 at 11:59pm

Points 20

Questions 20

Available Mar 16 at 12am - Mar 29 at 11:59pm

Time Limit 30 Minutes

Instructions



Learning Outcome Addressed

- Demonstrate the sound understanding of the concept, functions and importance of financial management for a business firm.

It is now time to assess your understanding of the concepts covered so far in this week.

Quiz Instructions

- The time limit for this quiz is 30 mins. Kindly complete and submit this quiz within this time.
- You have only one attempt to answer this quiz.
- All quiz attempts must be attempted by **Sunday, March 29, 2026, by 11:59 PM IST.**

Note: This is a graded quiz and counts towards course completion.

This quiz was locked Mar 29 at 11:59pm.

Attempt History

	Attempt	Time	Score
LATEST	Attempt 1	14 minutes	20 out of 20

Score for this quiz: 20 out of 20
Submitted Mar 26 at 4:32pm
This attempt took 14 minutes.

Question 1

1 / 1 pts

The Time Value of Money states that:

- Correct!
- ☐ Money has no value over time
- ☐ Inflation does not affect money
- ☐ Future money is more valuable than present money
- ☒ ₹100 today is worth more than ₹100 tomorrow

That's correct!

Question 2

1 / 1 pts

Annuity due payments occur:

- Correct!
- ☒ Beginning of period
- ☐ After maturity
- ☐ End of period
- ☐ Only yearly

That's correct!

Question 3

1 / 1 pts

Future Value (FV) refers to:

- Correct!
- ☒ Value of money at future date
- ☐ Historical cost

☐ Present worth of future cash

☐ Discounted value

That's correct!

Question 4

1 / 1 pts

Compounding means:

☐ Subtracting interest

☒ Calculating interest on principal plus interest

☐ Calculating interest on principal only

☐ Finding present value

That's correct!

Correct!

Question 5

1 / 1 pts

Which concept is ignored in profit maximization but considered in TVM?

☐ Sales

☒ Time

☐ Assets

☐ Cost

That's correct!

Correct!

Question 6

1 / 1 pts

Ordinary annuity payments occur:

☒ End of period

☐ Beginning of period

☐ Anytime

☐ Randomly

That's correct!

Correct!

Question 7

1 / 1 pts

An annuity is:

☐ Single payment

☒ Series of equal payments at equal intervals

☐ Random income

☐ Irregular payments

That's correct!

Correct!

Question 8

1 / 1 pts

Compound interest formula for Future Value is:

☐ $FV = P - r$

Correct!

☐ $FV = P / (1 + r)^n$

☒ $FV = P(1 + r)^n$

☐ $FV = PRT$

That's correct!

Question 9

1 / 1 pts

Simple Interest formula is:

☐ $FV - PV$

☐ P / r

Correct!

☒ $P \times R \times T$

☐ $P(1 + r)^n$

That's correct!

Question 10

1 / 1 pts

Effective interest rate is:

☐ Tax rate

☐ Discount rate

Correct!

☒ Actual rate after compounding

☐ Nominal rate

That's correct!

Question 11

1 / 1 pts

If ₹1,000 is invested at 10% for 1 year, FV will be:

Correct!

☒ ₹1,100

☐ ₹1,010

☐ ₹1,200

☐ ₹1,000

That's correct!

Question 12

1 / 1 pts

The formula for Present Value is:

☐ $PV = FV(1 + r)^n$

☐ $PV = r \times n$

☐ $PV = PRT$

Correct!

☒ $PV = FV / (1 + r)^n$

That's correct!

Question 13

1 / 1 pts

Discounting is the process of:

Correct!

☒ Finding present value

☐ Ignoring time

☐ Adding interest

☐ Finding future value

That's correct!

Question 14

1 / 1 pts

Net Present Value (NPV) is based on:

☐ Historical cost

☒ Discounting future cash flows

☐ Book value

☐ Face value

That's correct!

Correct!

Question 15

1 / 1 pts

Present Value (PV) is:

☒ Value of money today

☐ Nominal value

☐ Value of money tomorrow

☐ Future value compounded

That's correct!

Correct!

Question 16

1 / 1 pts

Discount factor decreases when:

☐ Time decreases

☒ Time increases

☐ Interest rate decreases

☐ Inflation decreases

That's correct!

Correct!

Question 17

1 / 1 pts

The basic principle behind TVM is:

☐ Inflation only

☐ Accounting policy

☒ Opportunity cost of money

☐ Risk only

That's correct!

Correct!

Question 18

1 / 1 pts

The greater the time period, the:

- ☐ Lower the future value
- ☒ Higher the future value
- ☐ No change in value
- ☐ Lower the interest

Correct!

That's correct!

Question 19

1 / 1 pts

If discount rate increases, Present Value:

- ☐ Remains same
- ☐ Doubles
- ☒ Decreases
- ☐ Increases

Correct!

That's correct!

Question 20

1 / 1 pts

The main reason for Time Value of Money is:

- ☐ Accounting rules
- ☒ Earning capacity of money
- ☐ Inflation
- ☐ Taxes

Correct!

That's correct!

Quiz Score: 20 out of 20

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